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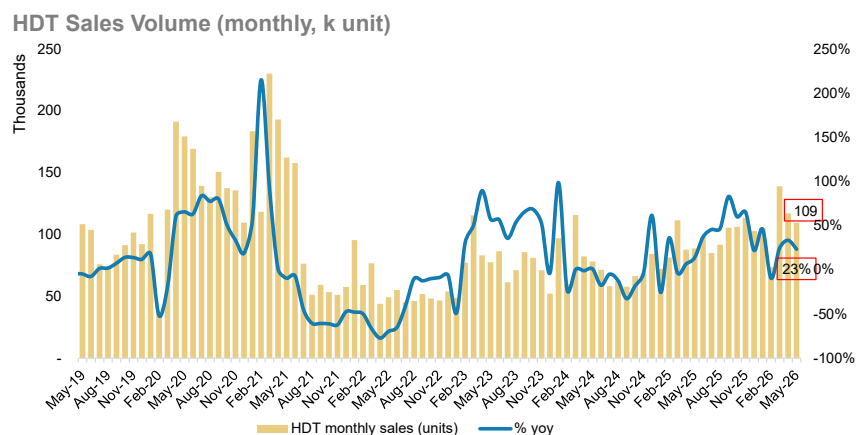
China Industrials | Asia Pacific

CAAM: HDT Sales Up 23% y-y in May 2026

HDT sales were 109.5k units in May-26 (+23% y-y / -6% m-m), above CV World's estimate of 103k units.

- Sinotruk outperformed with 41% y-y growth and a monthly market share of 31.5% (+3.9ppt y-y), supported by robust exports (>18k units) and leading new energy HDT sales, per CV world.
- However, ShaanQi underperformed with -3% y-y growth and a monthly market share of 13.7% (-3.7ppt y-y).

In 5M26, HDT sales were 544.3k units, up 23% y-y. Sinotruk was slightly above with 25% y-y growth and a market share of 28.4% (+0.3ppt y-y); ShaanQi lagged behind with 14% y-y growth and a market share of 15.0% (-1.2ppt y-y). Beiqi Foton and XCMG expanded market share modestly.

Exhibit 1: China's HDT monthly sales volume

Source: CAAM, Morgan Stanley Research

Exhibit 2: China's HDT monthly sales volume by player

May, 2026	Monthly Sales	Monthly y-y	YTD Sales	YTD % y-y	YTD market share	YTD Market Share % y-y	Monthly market share	Monthly Market Share % y-y
Industry	109,486	23%	544,312	23%				
Sinotruk	34,526	41%	154,736	25%	28.4%	0.3ppt	31.5%	3.9ppt
FAW	17,264	25%	95,567	18%	17.6%	-0.8ppt	15.8%	0.2ppt
Dongfeng Motor	14,543	-2%	81,506	17%	15.0%	-0.7ppt	13.3%	-3.4ppt
ShaanQi	14,986	-3%	81,748	14%	15.0%	-1.2ppt	13.7%	-3.7ppt
Beiqi Foton	16,032	37%	75,766	37%	13.9%	1.4ppt	14.6%	1.5ppt
Others	12,135	-	54,989	-	10.1%	-	11.1%	-

Source: CAAM, Morgan Stanley Research

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Asia Summer School 2026

CHINA INDUSTRIALS

Asia Pacific

Industry View

In-Line

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(as of May 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/10/2026)
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China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.49
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.53
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.74
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb122.48
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb14.28
iRay Technology Company Limited (688301.SS)	E (01/16/2025)	Rmb163.49
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb53.04
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb152.99
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb68.90
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$13.09
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb13.97
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.36
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.65
DR Laser (300776.SZ)	E (12/17/2021)	Rmb160.00
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb35.80
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$20.38

Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb31.82
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb15.86
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb119.30
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb49.26
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb424.00
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.85
Shenzhen Inovance Technology (300124.SZ)	++	Rmb70.10
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb70.50
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$42.16
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb202.66
Times Electric (3898.HK)	E (01/22/2026)	HK\$40.20
WeiChai Power (2338.HK)	O (03/30/2026)	HK\$34.60
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb28.19
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb54.39
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb42.80
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb49.63
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb34.08
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb42.69
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$7.78
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.38

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.